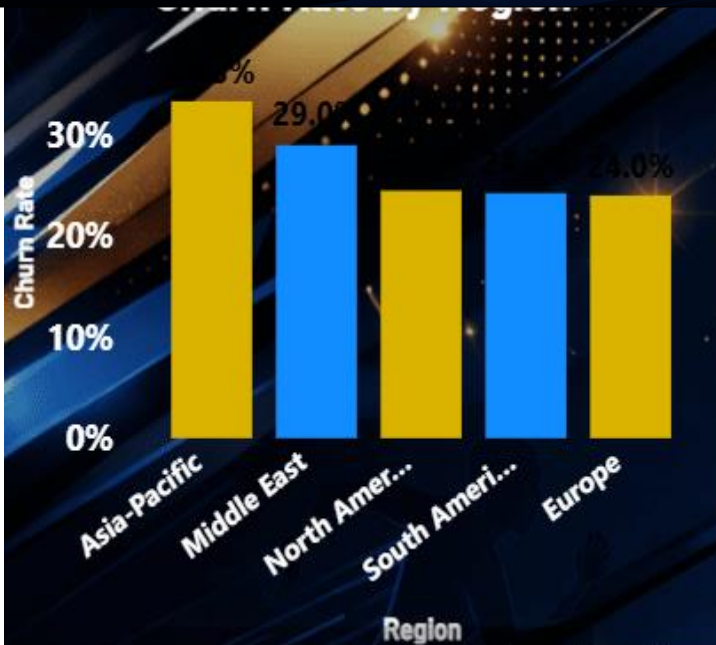
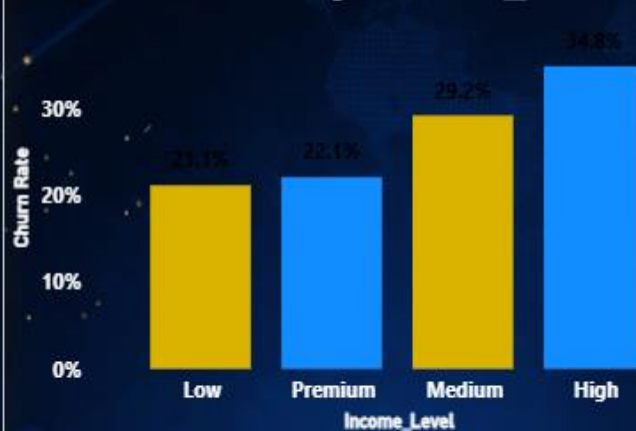


TASK 2

CHURN & RETENTION METRICS



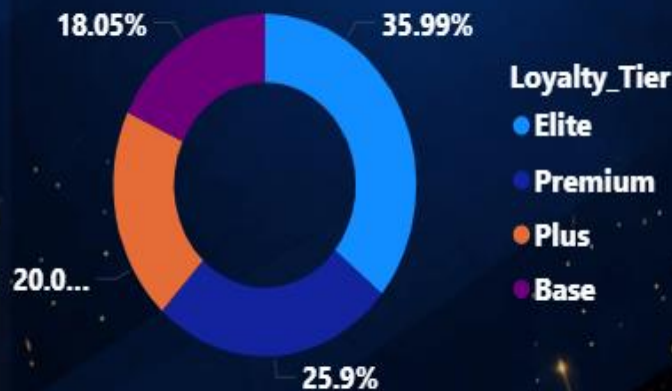
Churn Rate by Income_Level



Churn Rate by Preferred_Channel



Churn Rate by Loyalty_Tier



Customer Churn Funnel



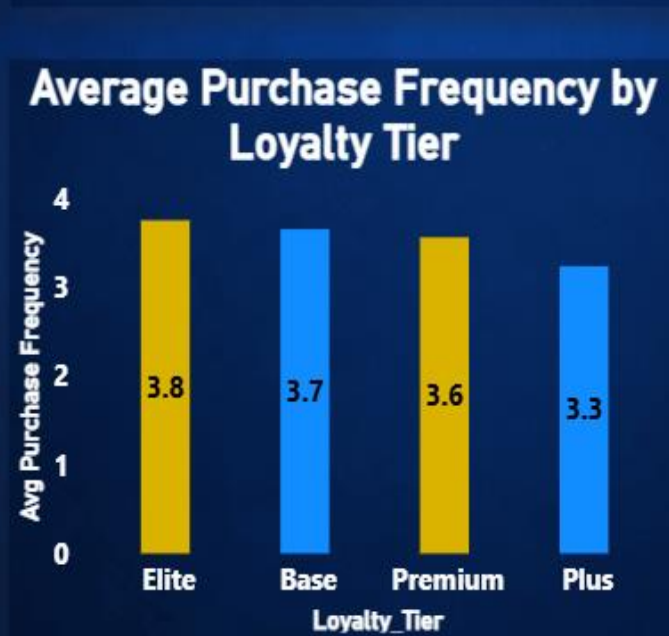
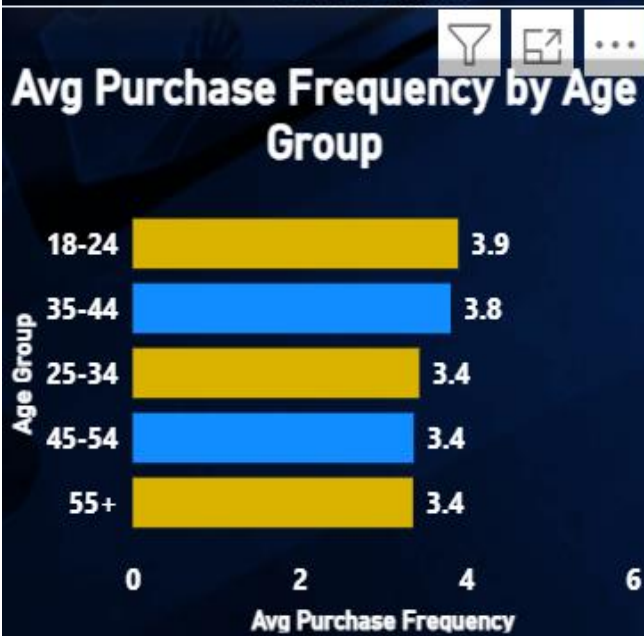
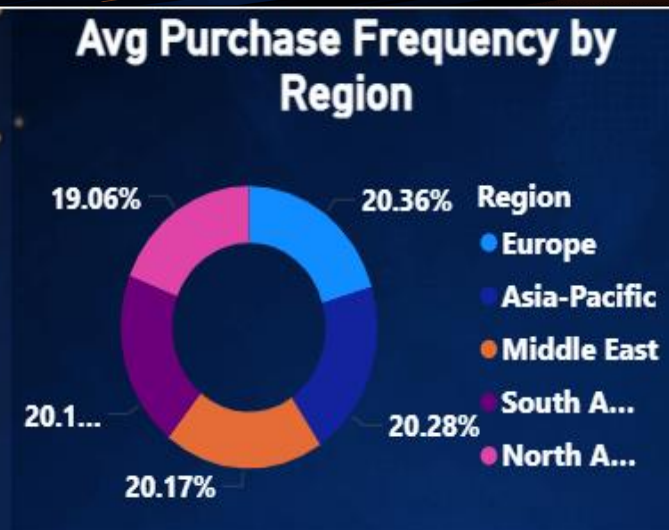
Churn Rate

49.0%

Reduce high churn (49%) by improving retention strategies, especially for high-income, online users, and high-risk regions.

TASK 3

REPEAT PURCHASE ANALYSIS



Convert mid-tier customers into high-tier using loyalty programs and personalized offers.

Target younger audiences (18-34) while improving engagement for older and low-performing segments.

Promote top products like footwear and boost apparel/accessories with offers and bundles.

TASK 4

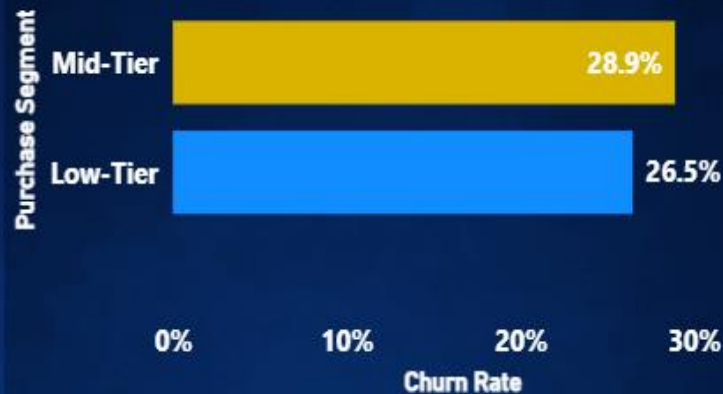
PROMOTION & LOYALTY IMPACT

Sales Breakdown by Promotion & Customer Factors

Product... Accessories Apparel Footwear



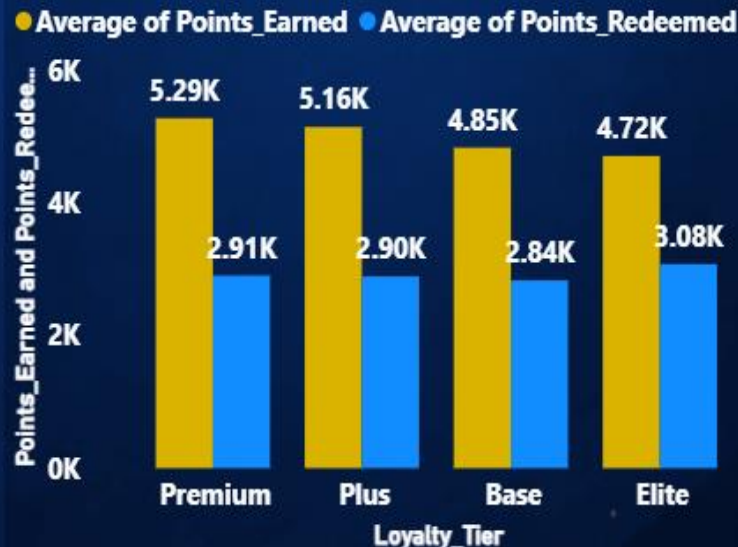
Churn Rate by Purchase Segment



52.70

% Transactions with Promotion

Points_Earned and Points_Redeemed by Loyalty_Tier



Recommendations

Customers earn more loyalty points than they redeem, especially Base tier indicating low utilization, while higher tiers show moderate but still incomplete redemption.

Improve retention by running bonus campaigns, offering limited-time rewards, giving exclusive perks to top tiers, and sending reminders for unused points.

TASK 5

STORE & CHANNEL PERFORMANCE VS RETENTION

☐ Asia-Pacific

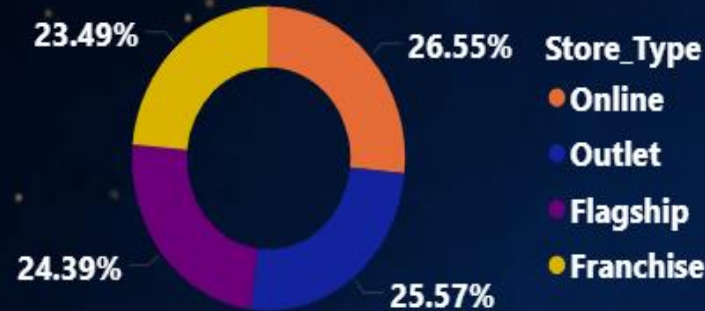
☐ Europe

☐ Middle East

☐ North A...

☐ South A...

Avg Transaction Amount by Store_Type



Churn Rate by Store_Type



Retention_Rate by Store_ID and Opening_Year



Retention_Rate

72.67%

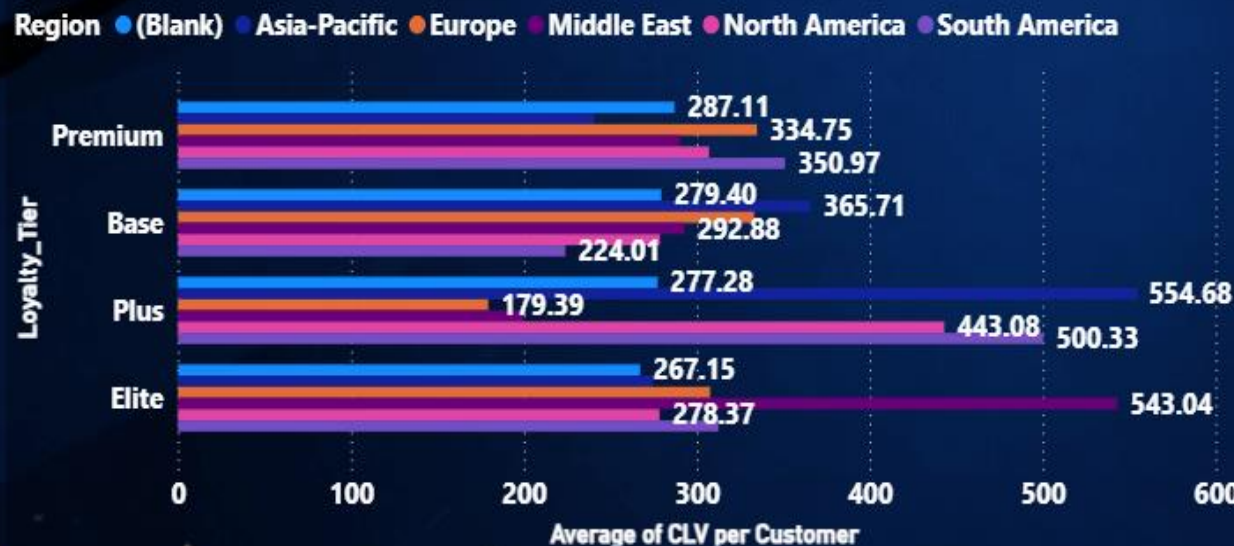
TASK 6

CUSTOMER LIFETIME VALUE (CLV) ANALYSIS

CLV vs Days Since Last Purchase



CLV by Loyalty Tier & Region



☐ Asia-Pacific

☐ Europe

☐ Middle East

☐ North America

☐ South America

Average of CLV per Customer

275.46

TASK 7 (PAGE- 1)

KPIS (CHURN, CLV, REPEAT RATE)

300

Total Customers

187

Repeat...

275.46

Average CLV

49.0%

Churn Rate

> ☐ Base

> ☐ Elite

> ☐ Plus

> ☐ Premium

CLV per Customer by Year, Quarter and Month



TASK 7 (PAGE- 2)

LOYALTY & PROMOTION IMPACT

CLV per Customer by Loyalty_Tier

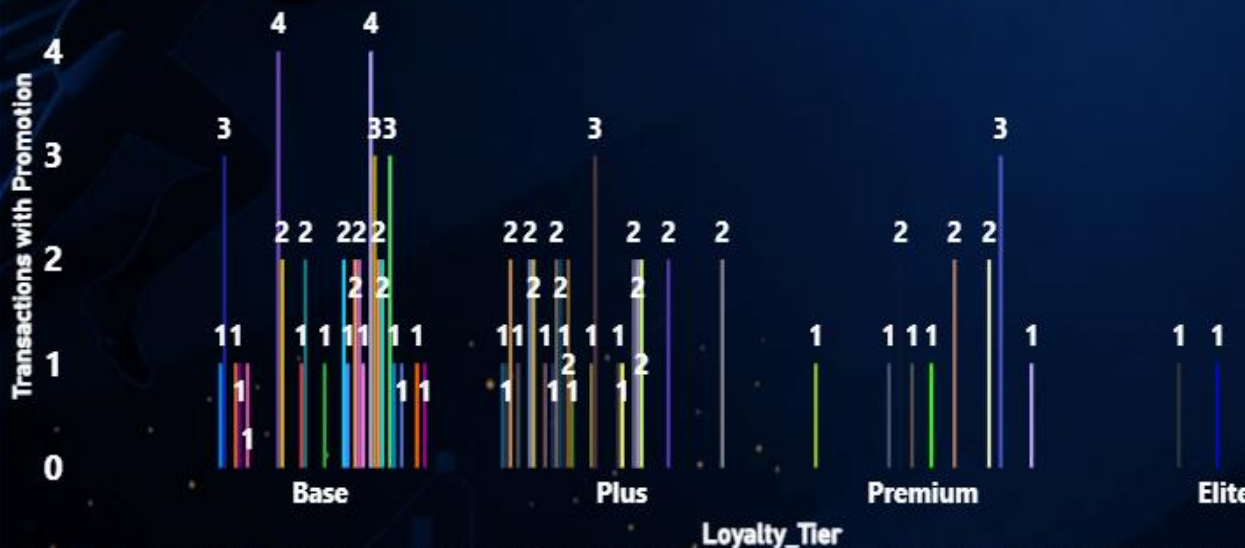


Transactions with Promotion and Repeat Customers



Transactions with Promotion by Loyalty_Tier and CLV per Customer

CLV per Customer 2.17 4.93 12.88 14.84 19.17 26.96 27.99 29.33 29.57 37.97



> ☐ Base

> ☐ Elite

> ☐ Plus

> ☐ Premium

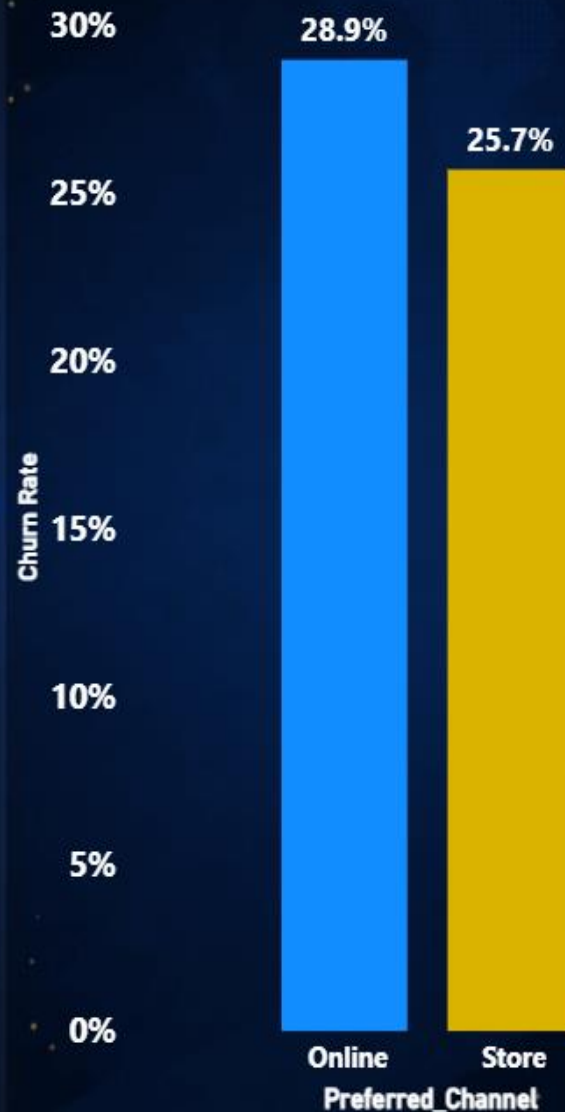
TASK 7 (PAGE- 3)

STORE/CHANNEL INSIGHTS

Total Customers and Retained Customers by Preferred_Channel



Churn Rate by Preferred_Channel



Total Customers and Total Transactions by Region



Base

Elite

Plus

Premium

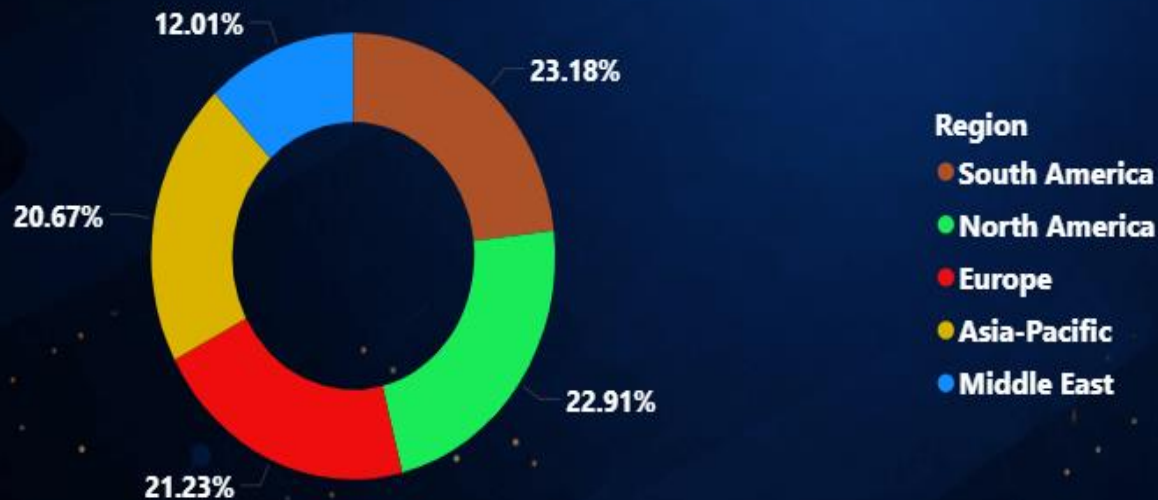
TASK 7 (PAGE- 4)

SEGMENTATION (CHURNED, REPEAT, HIGH-VALUE)

CLV per Customer by Purchase Segment



Count of Purchase Segment by Region



> ☐ Base

> ☐ Elite

> ☐ Plus

> ☐ Premium

Recommendations-:

1. Which customers to prioritize for retention?

Adidas should focus on Mid-Tier customers, as they contribute the highest share (63%) of total CLV but still have potential to move into high-value segments.

Additionally, repeat customers (187 users) should be prioritized with targeted offers, as they already show strong engagement and are easier to retain.

2. Which channels are underperforming?

The Online channel is underperforming in retention, showing a higher churn rate (~28.9%) compared to Store (25.7%).

Despite higher customer volume, online users are less loyal, indicating a need to improve digital experience and engagement strategies.

3. How to strengthen loyalty program engagement?

Adidas should enhance its loyalty program by offering tier-based rewards and personalized incentives, especially targeting Base and Plus members who show lower CLV.

Introducing exclusive benefits, early access, and targeted promotions can encourage customers to move to higher tiers (Premium/Elite) and increase long-term value.

Note-: Overall, Adidas should combine data-driven personalization, channel optimization, and loyalty enhancement strategies to reduce churn and maximize customer lifetime value.

CALCULATIONS

1. Churn Rate

DAX Formula:

Churn Rate = $\text{DIVIDE}([\text{Churned Customers}], [\text{Total Customers}])$

Explanation:

This measure calculates the proportion of customers who have churned out of the total customer base.

Insight:

A churn rate of 49% (as seen in the dashboard) indicates a significant loss of customers, requiring immediate retention strategies.

2. Retention Rate

DAX Formula:

Retention_Rate =
 $\text{DIVIDE}([\text{Retained Customers}], [\text{Total Customers}])$

Explanation:

This measure calculates the percentage of customers who are still active and retained.

Insight:

A higher retention rate reflects strong customer loyalty and business stability.

3. Total Customers

DAX Formula:

Total Customers = DISTINCTCOUNT('Customer demographics'[Customer_ID])

Explanation:

Counts the total number of unique customers in the dataset.

Insight:

Provides the base for calculating all customer-related KPIs such as churn and retention.

4. Churned Customers

DAX Formula:

Churned Customers =
CALCULATE(
 DISTINCTCOUNT('customer churned'[Customer_ID]),
 'customer churned'[Churn_Flag] = 1
)

Explanation:

Counts customers who are marked as churned based on the churn flag.

Insight:

Helps identify the volume of lost customers and supports churn analysis across segments.

5. Repeat Customers

DAX Formula:

```
Repeat Customers =  
CALCULATE(  
    COUNTROWS(  
        FILTER(  
            SUMMARIZE(  
                'customer_transactions',  
                'customer_transactions'[Customer_ID],  
                "TxnCount", COUNT('customer_transactions'[Transaction_ID])  
            ),  
            [TxnCount] > 1  
        )  
    ),  
    'Customer demographics'[Churn_Flag] = 0  
)
```

Explanation:

Counts customers who have made more than one transaction and are not churned.

Insight:

Repeat customers indicate strong engagement and are easier to retain compared to new customers.

6. CLV per Customer

DAX Formula:

CLV per Customer =

```
DIVIDE(  
    CALCULATE(SUM('customer_transactions'[Amount])),  
    'Customer demographics'[Membership_Duration(Days)] / 365  
)
```

Explanation:

Calculates customer lifetime value by dividing total spending by membership duration (converted into years).

Insight:

Helps identify high-value customers and supports targeted marketing strategies.

7. Avg Purchase Frequency

DAX Formula:

Avg Purchase Frequency =

```
AVERAGEX(  
    VALUES('Customer demographics'[Customer_ID]),  
    CALCULATE(COUNT('customer_transactions'[Transaction_ID]))  
)
```


Explanation:

Calculates the average number of transactions per customer.

Insight:

Higher purchase frequency indicates stronger customer engagement and loyalty.

8. Avg Transaction Amount**DAX Formula:**

Avg Transaction Amount =
AVERAGE('customer_transactions'[Amount])

Explanation:

Calculates the average amount spent per transaction.

Insight:

Helps understand customer spending behavior and pricing effectiveness.

9. % Transactions with Promotion**DAX Formula:**

% Transactions with Promotion =
DIVIDE(
[Transactions with Promotion],
[Total Transactions],

0
) * 100

Explanation:

Calculates the percentage of transactions where promotions were applied.

Insight:

A high percentage indicates strong dependency on promotions to drive sales.

10. Transactions with Promotion

DAX Formula:

Transactions with Promotion =
CALCULATE(
COUNT('customer_transactions'[Transaction_ID]),
'customer_transactions'[Promotion_Applied] = "Yes"
)

Explanation:

Counts the number of transactions where promotions were used.

Insight:

Helps evaluate the effectiveness of promotional campaigns.

11. Avg Purchase With Promotion

DAX Formula:

Avg Purchase With Promotion =

```
CALCULATE(  
    AVERAGE('customer_transactions'[Amount]),  
    'customer_transactions'[Promotion_Applied] = "Yes"  
)
```

Explanation:

Calculates average transaction value when promotions are applied.

Insight:

Shows how promotions influence customer spending behavior.

12. Avg Purchase Without Promotion

DAX Formula:

Avg Purchase Without Promotion =

```
CALCULATE(  
    AVERAGE('customer_transactions'[Amount]),  
    'customer_transactions'[Promotion_Applied] = "No"  
)
```

Explanation:

Calculates average transaction value without promotions.

Insight:

Helps compare organic sales versus promotion-driven sales.

13. Days Since Last Purchase**DAX Formula:**

Days Since Last Purchase =

DATEDIFF(

MAX('customer churned'[Last_Purchase_Date]),

TODAY(),

DAY

)

Explanation:

Measures the number of days since a customer's last purchase.

Insight:

Customers with higher values are more likely to churn and need re-engagement strategies.

14. Loyal Customers**DAX Formula:**

Loyal Customers =

CALCULATE(

```
DISTINCTCOUNT('Customer demographics'[Customer_ID]),  
'Customer demographics'[Purchase Segment] = "High-Tier"  
)
```

Explanation:

Counts customers classified as high-tier based on purchase behavior.

Insight:

These customers generate the highest value and should be prioritized for retention.

KEY INSIGHTS

1. High Customer Churn

The overall churn rate is significantly high (~49%), indicating that nearly half of the customers are not retained.

2. Mid-Tier Customers Drive Maximum Value

Mid-tier customers contribute the highest share of CLV (around 63%), making them the most important segment for business growth.

3. Repeat Customers Show Strong Engagement

Repeat customers (187 users) have higher engagement and are more likely to generate consistent revenue.

4. Promotions Drive Sales but Not Loyalty

A large percentage of transactions involve promotions, indicating dependency on discounts. However, promotions do not always translate into long-term loyalty.

5. Online Channel Has Higher Churn

The online channel shows higher churn (~28.9%) compared to store (~25.7%), indicating weaker customer retention digitally.

6. Loyalty Program Underutilized

Customers earn more loyalty points than they redeem, especially in lower tiers, indicating poor engagement.

RECOMMENDATIONS

1. Focus on Mid-Tier Customers

Convert mid-tier customers into high-value customers through targeted offers and loyalty upgrades.

2. Strengthen Retention Strategies

Implement personalized campaigns for high-risk customers based on churn indicators.

3. Improve Online Experience

Enhance digital experience and engagement to reduce churn in the online channel.

4. Optimize Promotions

Shift from heavy discounting to value-based promotions and personalized offers.

5. Enhance Loyalty Program

Introduce better rewards, exclusive benefits, and targeted incentives to improve engagement.

Executive Summary

This project provides a comprehensive analysis of customer behavior, churn, and business performance using Power BI.

The analysis reveals that while the business has strong customer acquisition and transaction volume, it faces challenges in retaining customers and maximizing long-term value.

Key findings highlight high churn rates, strong contribution from mid-tier customers, and inefficiencies in loyalty and promotion strategies.

By focusing on customer retention, optimizing promotional strategies, and improving loyalty engagement, the business can significantly enhance customer lifetime value and overall profitability.

Overall, this project demonstrates how data-driven insights can support better decision-making and strategic growth.

VIDEO LINK

<https://www.awesomescreenshot.com/video/51093103?key=e33b50fb8499f1b993c53e0936d701c5>